# Banking Law — Previous Year Question Paper Analysis

Law of Banking & Negotiable Instruments · Osmania University LLB (3 YDC) Sem V · **2012–2023**

Companion to the **Banking Law Previous Year Question Papers** and the **Banking Story Notes** · by **lawsticker-ai.com**


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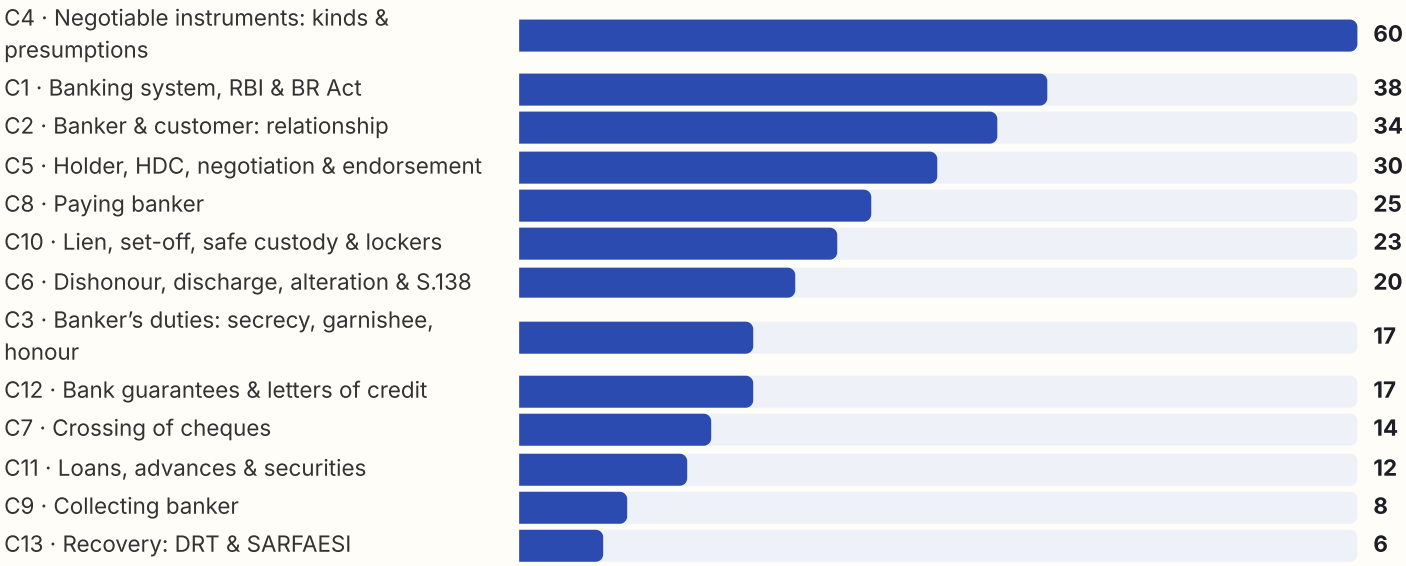
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| 20 | 305 | 13 | 7 |
|---|---|---|---|
| sittings | questions | topic clusters | Tier 1 clusters |

## Key findings

1. **Unit III (Negotiable Instruments Act) is the biggest block** — **124 of 305** questions (C4–C7), and **43 of 77 Part C problems** are NI problems: endorsements, holder in due course, forgery, alteration, dishonour.
2. **Banker–customer relationship is the most reliable essay** — a Part B question in **15 of 20 papers**. The **Banking Regulation Act / banking system** essay comes next (C1: 18 essays).
3. **Short notes are mostly instruments** — promissory note, bill, cheque, traveller's cheque, drafts, dividend warrants (C4: 38 short notes), plus **crossing** (13) and **LC / bank guarantee** (12).
4. **Unit V is rising since 2021** — loans & securities and DRT / SARFAESI give **12 questions in the 6 papers from 2021 on**, against 6 in the 14 papers before.
5. **Part C repeats itself**: forged endorsement, partial and conditional endorsements, jewels in safe custody, payment before countermand and joint lockers have each come **2–7 times** (table on page 3).

## Questions per cluster — all sittings, 2012–2023



## Cluster × part — and how many papers asked it

| Cluster | Unit | Tier | A | B | C | Total | Asked in (of 19) | Story Notes |
|---|---|---|---|---|---|---|---|---|
| **C4 Negotiable instruments: kinds & presumptions** | III | T1 | 38 | 13 | 9 | **60** | 19 (100%) | Ch 5 |
| **C1 Banking system, RBI & BR Act** | I | T1 | 19 | 18 | 1 | **38** | 18 (94%) | Ch 0, 1 |
| **C2 Banker & customer: relationship** | II | T1 | 18 | 15 | 1 | **34** | 17 (89%) | Ch 2, 3 |
| **C5 Holder, HDC, negotiation & endorsement** | III | T1 | 7 | 2 | 21 | **30** | 13 (68%) | Ch 5 |
| **C8 Paying banker** | IV | T1 | 9 | 6 | 10 | **25** | 14 (73%) | Ch 8 |
| **C10 Lien, set-off, safe custody & lockers** | V | T1 | 11 | 2 | 10 | **23** | 13 (68%) | Ch 10 |
| **C6 Dishonour, discharge, alteration & S.138** | III | T1 | 1 | 7 | 12 | **20** | 11 (57%) | Ch 7 |
| **C3 Banker's duties: secrecy, garnishee, honour** | II | T2 | 4 | 4 | 9 | **17** | 8 (42%) | Ch 4 |
| **C12 Bank guarantees & letters of credit** | V | T2 | 12 | 5 | 0 | **17** | 12 (63%) | Ch 12 |
| **C7 Crossing of cheques** | III | T2 | 13 | 0 | 1 | **14** | 11 (57%) | Ch 6 |
| **C11 Loans, advances & securities** | V | T2 | 9 | 1 | 2 | **12** | 7 (36%) | Ch 11 |
| **C9 Collecting banker** | IV | T3 | 6 | 1 | 1 | **8** | 8 (42%) | Ch 9 |
| **C13 Recovery: DRT & SARFAESI** | V | T3 | 3 | 3 | 0 | **6** | 4 (21%) | Ch 13 |

**A** = short note · **B** = essay · **C** = problem. 'Asked in' counts only the **19 papers** where Parts A, B and C are all available. **Tier** = average questions per paper: **T1** one or more, **T2** 0.6 to 1, **T3** fewer. **Story Notes** = the chapter of the Banking Story Notes that teaches the topic.

## Trend by period

| Cluster | 2012–15 (7) | 2016–20 (7) | 2021+ (6) | Trend (per paper) |
|---|---|---|---|---|
| **C4 Negotiable instruments: kinds & presumptions** | 21 | 25 | 14 | ● steady |
| **C1 Banking system, RBI & BR Act** | 13 | 16 | 9 | ● steady |
| **C2 Banker & customer: relationship** | 14 | 10 | 10 | ● steady |
| **C5 Holder, HDC, negotiation & endorsement** | 5 | 19 | 6 | ▼ less often lately |
| **C8 Paying banker** | 13 | 4 | 8 | ● steady |
| **C10 Lien, set-off, safe custody & lockers** | 6 | 9 | 8 | ● steady |
| **C6 Dishonour, discharge, alteration & S.138** | 6 | 9 | 5 | ● steady |
| **C3 Banker's duties: secrecy, garnishee, honour** | 10 | 5 | 2 | ▼ less often lately |
| **C12 Bank guarantees & letters of credit** | 6 | 6 | 5 | ● steady |
| **C7 Crossing of cheques** | 5 | 3 | 6 | ▲ more often lately |
| **C11 Loans, advances & securities** | 4 | 1 | 7 | ▲ more often lately |
| **C9 Collecting banker** | 3 | 2 | 3 | ▲ more often lately |
| **C13 Recovery: DRT & SARFAESI** | 0 | 1 | 5 | ▲ more often lately |

*Number of sittings in brackets. The trend compares questions **per paper** in 2021+ with the earlier years, so a period with fewer papers isn't marked down just for being smaller.*

## Questions that keep coming back

| Question (same idea) | Asked in | Cluster · key law |
|---|---|---|
| **General relationship between banker and customer (essay)** | **15 of 20 papers** — every period, including Feb 2021, both April/May 2022 papers and April/May 2023 | C2 · Foley v Hill, debtor–creditor + special relations |
| **Salient features of the Banking Regulation Act (essay)** | Aug 2012 · 2013 · June 2014 · 2014 · Jan/Feb 2017 · May/June 2018 · 2020 · Feb 2021 | C1 |
| **Statutory protection to the paying banker (essay)** | Jan 2012 · Aug 2012 · 2014 · Dec 2015 · Feb 2021 · Apr/May 2023 | C8 · S.10, 85, 85A, 128 NI Act |
| **Forged endorsement — banker / holder's title** | 2013 · 2014 · Dec 2015 · 2016 · 2017 · May/June 2018 · 2022 | C5 / C8 · S.85 protects, but forgery passes no title |
| **Partial endorsement (holder writes 'pay ₹x' of a larger note)** | 2017 · May/June 2018 · 2019 · Feb 2021 | C5 · S.56 NI Act |
| **Conditional endorsement ('pay C if he returns from Paris/London')** | May/June 2018 · 2020 | C5 · S.52 NI Act |
| **Jewels in safe custody, customer later a debtor — lien?** | 2014 · Dec 2015 · Apr/May 2023 | C10 · no general lien on safe-custody articles |
| **Income-tax officer asks for account details — disclose?** | 2014 · Dec 2015 | C3 · Tournier; disclosure under compulsion of law |
| **Paid before countermand reached the bank** | 2013 · Nov 2022 · Apr/May 2023 | C8 · countermand effective only on receipt |
| **Joint locker with nominees, one holder dies** | Nov 2022 · Apr/May 2023 | C10 · S.45ZC–45ZE BR Act |
| **Fraud on acceptance, later holder knows of it** | June 2014 · May/June 2016 · Jan/Feb 2018 | C5 · S.53, 9 NI Act |
| **Altered place of drawing on an accepted bill** | 2017 · Feb 2021 | C6 · S.87 material alteration |

## What to do with this

- **Tier 1** = C4, C1, C2, C5, C8, C10, C6 — prepare a full essay and the repeat problems for each.
- **Tier 2** = C3, C12, C7, C11 — essay outline + short notes. **Tier 3** = C9, C13 — short-note level.
- In Part B, keep **banker–customer relationship** and **BR Act / banking system** essays ready, plus one of **paying banker's statutory protection** or **NI Act features / presumptions**.
- For Part C, master the **NI Act sections that decide the problems**: S.9 (HDC), 15–16 & 52, 56 (endorsements), 10 & 85 (payment in due course), 87 (material alteration), 118 (presumptions), 131 (collecting banker), 138 (dishonour).
- Since 2021, add **DRT / SARFAESI** and **pledge, guarantor, shares as security** to your short-note list.

## Sources & how sure we are

- **Full text 2012–2020**: lawsticker-ai.com previous-year-question archive (3 YDC papers).
- **Summaries**: question papers shared on **Studocu** (Osmania University collections) and listed on **GKPAD**. Wording may differ slightly from the printed paper.
- **Course on the header**: 2012, 2013 and June 2014 read **3 YDC V semester**; Jan/Feb 2018, May/June 2019, Feb 2021, Aug/Sept 2021, April/May 2022 (2-hour) and April/May 2023 read **'LL.B (3 YDC) … V Semester' together with 'B.LL (5 YDC) IX Semester'** — common papers. The **3-hour April/May 2022** and **November 2022** copies show **only the 5-year IX semester**; same subject and syllabus, used here as a guide.
- Left out: an **August/Sept 2013 'VI Semester (Old)' optional paper** — a different, older course. No **2024 or 2025** paper was publicly available.
- This report shows what **has** been asked — it is **not a prediction** of what will be asked.


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